Income Tax Law and Practice I

Unit II (2.2) — Question & Answer Sheet (III B.Com)

PART A — 2 Marks Questions

12. Define the meaning of receipt.

Receipt refers to the first instance when income comes under the control of the assessee. Once income is received for the first time (whether in India or outside), any subsequent transfer or remittance of that same amount to another place is not treated as a fresh “receipt.” Income received in India is taxable irrespective of the residential status of the assessee or where it accrued.

14. Write a note on recoupment of any loss.

Recoupment of loss refers to the recovery of a business loss that was earlier allowed as a deduction — for example, recovery of bad debts previously written off, or insurance/compensation received for a loss already claimed as a deduction in an earlier year. Such recovered amount is treated as income of the previous year in which it is recouped/received, since the assessee already obtained tax benefit for the original loss.

16. Define the meaning of accrual.

Accrual refers to the point at which the assessee acquires a legal right to receive income, even if it has not yet actually been received. Income “accrues” when the right to receive it comes into existence, as opposed to “arising,” which refers to when the income actually shows up as profit or gain under the method of accounting followed.

17. Define the meaning of “deemed to accrue.”

Certain incomes are treated by law as accruing or arising in India even though they may not technically satisfy the normal accrual test — these are called “income deemed to accrue or arise in India” under Section 9. Examples include income from a business connection in India, income from any asset/property situated in India, salary for services rendered in India, and interest/royalty/technical fees payable by specified persons for use in India.

19. How to treat an Indian company's income (residential status)?

Under Section 6(3), an Indian company is always treated as a resident in India for tax purposes, in every previous year, regardless of where its control and management is located or where its business operations are carried out. Consequently, its global income — whether earned in India or abroad — is taxable in India.

PART B — 5 Marks Questions

5. Mr. J, an Indian citizen, goes abroad on 1-4-2018 for the first time. He returns to India on 15-02-2025. During the previous year 2025-26, he was in India for 185 days. Find his residential status for AY 2026-27.

Basic Condition: He stayed in India for 185 days during PY 2025-26, which satisfies the basic condition of 182 days or more under Section 6(1). Hence he qualifies as a Resident.

Additional Conditions (to check ROR vs RNOR):

• **Condition 1** — Resident in India in at least 2 of the preceding 10 years: He lived in India continuously before leaving on 1-4-2018, so he was resident in the years prior to 2018-19 (well beyond 2 years). **Satisfied.**

• **Condition 2** — In India for 730 days or more during the preceding 7 years (PY 2018-19 to 2024-25): Since he was abroad from 2018 till Feb 2025, he was in India for only about 45 days in this entire 7-year window. **Not satisfied.**

Since he fails one additional condition, Mr. J is a Resident but Not Ordinarily Resident (RNOR) for the Assessment Year 2026-27.

6. Mr. Subramani left India for the first time on 20-05-2023. During FY 2025-26, he came to India on 27th May and stayed for 53 days. Determine his residential status for PY 2025-26.

• **Basic Condition 1** (182 days or more in the PY): Not satisfied — he stayed only 53 days.

• **Basic Condition 2** (60 days or more in the PY and 365 days or more in the preceding 4 years): Not satisfied — his stay in the relevant PY itself is only 53 days, below the 60-day threshold.

Since neither basic condition is satisfied, Mr. Subramani is a Non-Resident (NR) for the previous year 2025-26.

PART C — 10 Marks Questions

3. Compute Mr. R's income if he is (a) Resident, (b) Not Ordinarily Resident, (c) Non-Resident.

Income Item	Amount (■)	Resident (ROR)	RNOR	Non-Resident
(a) Share of income from joint venture in India	10,000	Taxable	Taxable	Taxable
(b) Dividend from foreign company, received in India	1,000	Taxable	Taxable	Taxable
(c) Agricultural income from Sri Lanka, received in India	20,000	Taxable	Taxable	Taxable
(d) Salary received in India (services rendered in Iran)	9,800	Taxable	Taxable	Taxable
(e) Business income (controlled from India) in Sri Lanka, remitted to India	10,000	Taxable	Taxable	Not Taxable
(f) Bank interest earned and received in Sri Lanka	5,000	Taxable	Not Taxable	Not Taxable
(g) Income accrued in India but received in Iran	10,000	Taxable	Taxable	Taxable

Reasoning: Items (a), (b), (d), and (g) are taxable for everyone because they either accrue in India or are received in India — both grounds make income taxable regardless of residential status. Item (c), though foreign agricultural income (not exempt, since the Sec 10(1) exemption applies only to Indian agricultural land), is taxable for all since it is received in India. Item (e) — income from a business controlled from India but accrued and received abroad — is taxable for Resident and RNOR, but not for a Non-Resident. Item (f) — pure foreign-source income (bank interest), accrued and received entirely outside India, unconnected to any Indian business — is taxable only for a Resident.

Total Income of Mr. R:

- **(a) Resident:** ■10,000 + 1,000 + 20,000 + 9,800 + 10,000 + 5,000 + 10,000 = **■65,800**
- **(b) Not Ordinarily Resident:** ■10,000 + 1,000 + 20,000 + 9,800 + 10,000 + 10,000 = **■60,800**
- **(c) Non-Resident:** ■10,000 + 1,000 + 20,000 + 9,800 + 10,000 = **■50,800**

4. Mr. Shashikant — compute total income if (i) Resident, (ii) Not Ordinarily Resident, (iii) Non-Resident, for PY 2025-26.

Income Item	Amount (■)	Resident (ROR)	RNOR	Non-Resident
(a) Salary received in India	60,000	Taxable	Taxable	Taxable
(b) Business profit in Germany, received in India	15,000	Taxable	Taxable	Taxable
(c) House property income in Pakistan, deposited in bank there	12,000	Taxable	Not Taxable	Not Taxable
(d) Business profit in Bangladesh, business controlled from India	46,000	Taxable	Taxable	Not Taxable
(e) Income accrued in India but received in Sweden	25,000	Taxable	Taxable	Taxable
(f) Past untaxed foreign income of earlier year, remitted to India	42,700	Not Taxable	Not Taxable	Not Taxable
(g) Profit on sale of plant at Mumbai (50% received in Bangkok)	1,60,000	Taxable	Taxable	Taxable
(h) Interest on Japan Dev. Bonds — 60% recd. in India (60,000), 40% recd. abroad (40,000)	1,00,000	Fully Taxable	60,000 only	60,000 only

Reasoning: Items (a), (b), (e), (g) are taxable for everyone — (a) and (b) because they're received in India, (e) because it accrues in India, and (g) because the asset (plant) is situated in India, making the entire gain taxable in India regardless of where it's received. Item (c), foreign house-property income neither received nor accrued in India, is taxable only for a Resident. Item (d), a foreign business controlled from India, is taxable for Resident and RNOR but not NR. Item (f), being income of an earlier year merely remitted this year, is never taxable — remittance is not a fresh receipt. Item (h): the 60% received in India (■60,000) is taxable for all three; the remaining 40% (■40,000), being foreign-source interest accrued and received abroad, is taxable only for a Resident.

Total Income of Mr. Shashikant:

- **(i) Resident:** 60,000 + 15,000 + 12,000 + 46,000 + 25,000 + 1,60,000 + 1,00,000 = **■4,18,000**
- **(ii) Not Ordinarily Resident:** 60,000 + 15,000 + 46,000 + 25,000 + 1,60,000 + 60,000 = **■3,66,000**
- **(iii) Non-Resident:** 60,000 + 15,000 + 25,000 + 1,60,000 + 60,000 = **■3,20,000**